Stonegate Logistics Holdings, Inc. (FAI) - Form 10-K

FY2025

Stonegate Logistics Holdings, Inc.

Form 10-K for the Fiscal Year Ended 2025

Ticker: FAI | Sector: Consumer Discretionary | HQ: Florida

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Stonegate Logistics Holdings, Inc. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Stonegate Logistics Holdings, Inc. ("Stonegate," "we," "our," or "us") owns and operates a portfolio of restaurant brands, headquartered in Florida. We operate restaurants offering full-service dining across a range of culinary concepts and price points, serving guests through dine-in, takeout, and delivery channels. For the fiscal year ended in 2025, we generated revenue of $12,763.5 million.

Our Brands

We operate multiple restaurant brands, each positioned around a distinct culinary concept and guest experience, supported by shared corporate functions including supply chain, real estate, and brand marketing. We believe operating a portfolio of brands allows us to reach a broader set of guest occasions and price points than a single concept would.

Supply Chain

We depend on a network of suppliers and distributors for food, beverage, and other restaurant supplies. Our scale allows us to negotiate purchasing arrangements intended to provide consistent quality and manage input costs across our brands.

Human Capital Resources

We employ a large workforce of restaurant-level team members, including hourly front-of-house and back-of-house staff, supported by restaurant management and corporate personnel. The substantial majority of our workforce is employed at the restaurant level. We focus on training, development, and competitive pay and benefits to support recruitment and retention in a competitive labor market.

Competition

The restaurant industry is highly competitive, with a large number of national, regional, and local operators across full-service and quick-service formats. We believe the principal competitive factors in our industry are food quality, service, price, and location.

Item 1A. Risk Factors

Risks Related to Our Business and Industry

Our profitability depends on the cost of food, beverage, and labor, which can fluctuate due to factors outside our control, including commodity price volatility, supply chain disruptions, and wage inflation. We may not be able to pass increased costs on to guests without reducing demand.

Our results depend on discretionary consumer spending, which is sensitive to macroeconomic conditions, including inflation, interest rates, and consumer confidence. A decline in discretionary spending on dining out could adversely affect our sales across our portfolio of brands.

We depend on a large workforce of restaurant-level team members. Competition for restaurant labor, wage inflation, and minimum wage increases could increase our operating costs or make it more difficult to maintain adequate staffing, which could adversely affect guest service and sales.

Risks Related to Our Financial Position

We had approximately $2,301.6 million of long-term debt outstanding as of fiscal year end 2025. Our level of indebtedness could limit our financial flexibility and increase our vulnerability to adverse changes in interest rates.

Risks Related to Acquisitions and Goodwill

Goodwill represented approximately 14.5% of our total assets as of fiscal year end 2025, reflecting past acquisitions of restaurant brands. A significant impairment of our goodwill, resulting from a deterioration in the performance of one or more of our brands, could adversely affect our results of operations.

Risks Related to Cybersecurity and Information Technology

Our business depends on information technology systems that support our point-of-sale, supply chain, and guest-facing digital ordering and delivery platforms. As described in Item 1C, “Cybersecurity,” while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems or those of our third-party service providers could disrupt our operations, compromise guest or employee data, and result in remediation costs, litigation, or reputational harm.

General Risk Factors

Our business is subject to food safety and health-related risks, including foodborne illness incidents, which could harm our reputation and sales even if such incidents are isolated to a single restaurant or brand.

Item 1C. Cybersecurity

Risk Management and Strategy

We have implemented a cybersecurity risk management program designed to identify, assess, and manage material risks from cybersecurity threats to our information systems and the data we process, including guest, employee, and vendor information. Our program is informed by the NIST Cybersecurity Framework, and we periodically benchmark our practices against that framework.

Our cybersecurity program includes continuous monitoring of our information technology environment, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that sets out procedures for investigating, containing, and remediating cybersecurity incidents. Because our point-of-sale, guest-facing digital ordering, and delivery platforms depend in part on third-party service providers, our vendor management process includes an assessment of those providers' security practices.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, like other restaurant operators, we are a target of cybersecurity threats, and a future incident affecting our systems or those of our third-party service providers could disrupt restaurant operations, compromise sensitive data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

The Audit Committee of our Board of Directors is responsible for overseeing our cybersecurity risk management program. Management provides the Audit Committee with regular updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Stonegate Logistics Holdings, Inc. owns and operates a portfolio of restaurant brands. For the fiscal year ended in 2025, we generated revenue of $12,763.5 million, operating income of $1,340.4 million (an operating margin of 10.5%), and net income of $1,096.7 million (a net margin of 8.6%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended in 2025 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Revenue	$12,763.5	100.0%
Other operating expenses, net	11,423.1	89.5%
Operating income	1,340.4	10.5%
Income tax expense	243.7	1.9%
Net income	1,096.7	8.6%

Other operating expenses, net, which include food and beverage costs, restaurant labor, occupancy, and corporate overhead, represented 89.5% of revenue. Our effective tax rate for the year was 18.2%, below the 21% U.S. federal statutory rate.

Liquidity and Capital Resources

We generated $1,714.7 million of cash from operating activities during fiscal 2025, reflecting net income of $1,096.7 million and depreciation and amortization of $617.9 million. We used $1,308.7 million of cash in investing activities, primarily capital expenditures of $758.2 million related to new restaurant development and remodels of existing restaurants, together with other investing outflows of $550.5 million. Financing activities used $458.4 million of cash, reflecting $657.3 million paid in dividends and $462.6 million used for share repurchases, partly offset by other financing inflows of $661.4 million. Taken together, our cash and cash equivalents decreased by $52.5 million during the year.

As of fiscal year end 2025, we had total debt of $2,301.6 million and stockholders' equity of $2,672.3 million, representing 18.6% of total assets, with liabilities representing 81.4% of total assets. We believe our cash flow from operations, together with access to the credit and capital markets, will be sufficient to fund our operating needs, capital expenditures, and return of capital to shareholders for at least the next twelve months.

Critical Accounting Estimates

Goodwill. Goodwill, which represented approximately 14.5% of our total assets as of fiscal year end 2025, arose from past acquisitions of restaurant brands and is tested for impairment at least annually. A significant decline in the estimated fair value of one or more of our brands could result in an impairment charge.

Self-Insurance Reserves. We are self-insured for a portion of our exposure to general liability, workers' compensation, and other claims arising from restaurant operations. We estimate our self-insurance reserves based on historical claims experience and actuarial assumptions, which involve significant judgment.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Stonegate Logistics Holdings, Inc. for the fiscal year ended in 2025. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$286.2
Accounts receivable, net	109.2
Inventory	376.4
Goodwill	2,094.5
Intangible assets, net	17.7
Other assets	11,521.6
Total assets	$14,405.6

Liabilities

Line item	Amount
Accounts payable	$462.2
Long-term debt	2,301.6
Other liabilities	8,969.5
Total liabilities	$11,733.3

Stockholders' Equity

Line item	Amount
Retained earnings (deficit)	$(17.1)
Accumulated other comprehensive income	33.2
Other equity	2,656.2
Total stockholders' equity	$2,672.3

Line item	Amount
Total liabilities and stockholders' equity	$14,405.6

Consolidated Statement of Income (in millions)

Line item	Amount
Revenue	$12,763.5
Other operating expenses, net	11,423.1
Operating income	1,340.4
Interest expense	—
Income before income taxes	1,340.4

Line item	Amount
Income tax expense	243.7
Net income	$1,096.7

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$1,096.7
Depreciation and amortization	617.9
Changes in working capital and other	—
Cash from operating activities	1,714.7

Investing activities:

Line item	Amount
Capital expenditures	(758.2)
Other investing activities	(550.5)
Cash used in investing activities	(1,308.7)

Financing activities:

Line item	Amount
Dividends paid	(657.3)
Share repurchases	(462.6)
Other financing activities	661.4
Cash used in financing activities	(458.4)

Line item	Amount
Net decrease in cash	$(52.5)

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill totaled $2,094.5 million and intangible assets, net, totaled $17.7 million as of fiscal year end 2025, representing approximately 14.5% and 0.1% of total assets, respectively, reflecting past acquisitions of restaurant brands. We test goodwill for impairment at least annually.

Note 2. Debt Long-term debt outstanding totaled $2,301.6 million as of fiscal year end 2025.

Note 3. Stockholders' Equity Stockholders' equity totaled $2,672.3 million as of fiscal year end 2025, representing approximately 18.6% of total assets. During fiscal 2025, we paid dividends of $657.3 million and used $462.6 million of cash for share repurchases.

Note 4. Income Taxes Our effective tax rate for fiscal 2025 was 18.2%, below the 21% U.S. federal statutory rate.

Note 5. Commitments and Contingencies We are subject to various claims and legal proceedings, including matters relating to our restaurant operations, arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.